

CS16 – Spenddown(s)

Statute: 2102(b)(1)(A) of the SSA

Regulation: 42 CFR 457.320(a)(4)

INTRODUCTION

This state plan page (fillable PDF) applies only to states with separate child health assistance programs.

In this state plan page, states indicate whether they apply spenddown and, if so, provide information as to their application of spenddown. This state plan is required only of states which apply spenddowns. States which do not apply spenddowns need not submit this state plan page.

BACKGROUND

States have the option of applying spenddown with respect to determining financial eligibility for CHIP.

TECHNICAL GUIDANCE

PREREQUISITES:

State plan pages for any covered group to which the spenddown applies (CS7, CS8, CS9, CS10, CS11 or CS12) must have been provided prior to or concurrently with state plan page CS16.

State plan page CS15 - MAGI-Based Income Methodologies must also have been submitted prior to or concurrently with state plan page CS16.

Review Criteria

If state plan pages for the covered group or groups to which spenddown is applied and CS15 (MAGI-Based Income Methodologies) are not approved, state plan page CS16 cannot be approved.

This state plan page includes a Yes/No question for the state to indicate if it applies a spenddown process for any of the covered population groups whose household income exceeds the CHIP qualifying income limit.

Note: Only states which apply spenddowns need to respond to this question.

If the answer is yes, the state enters a description of the types of spenddowns used in CHIP and how they are applied.

Review Criteria

The state must enter a description or this state plan page cannot be approved. The description should be sufficiently clear, detailed and complete to permit the reviewer to understand what expenses are allowed as spenddowns and how the state treats them in the income calculation for determining eligibility. The description should include, at a minimum, the population(s) to whom spenddown is applied; types of medical expenses used; the budget period; the calculation used to determine the spenddown amount; and the FPL level, if applied to individuals below a specified income level.